
Digital Thorium

versus the Rest of Finance

*A Feature-by-Feature Comparison with
Bonds, Gold, Equity, REITs, InvITs,
Yieldcos, Streamers, and Everything Else
a Portfolio Allocator Would Consider*

A companion to the policy report, the diligence memorandum, and the money flow architecture. This document compares Digital Thorium against the full set of instruments an Indian retail saver or institutional allocator would consider as alternatives. Each instrument is scored honestly on the dimensions that matter for portfolio construction: return profile, risk character, liquidity, tax treatment, correlation behaviour, and what unique exposure it provides. The conclusion is not that Digital Thorium dominates every instrument on every axis. The conclusion is that it occupies a position in the asset taxonomy that no existing instrument occupies, and therefore adds genuine optionality to a portfolio rather than substituting for what is already there.

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Abhilash Inumella · Anubhav Tiwari

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How to Read This Document

This document compares Digital Thorium against fourteen other instruments grouped into five families: government debt, retail safe assets, real-asset claims, equity-like instruments, and structured commodity claims. Each pairwise comparison is structured the same way: a feature table, a narrative summary of where each instrument wins, and a one-line verdict on portfolio role.

The honesty discipline of this document is simple. Where an existing instrument is strictly better than Digital Thorium for a particular use case, that is stated plainly. Where Digital Thorium offers something that no other instrument offers, that is also stated plainly. The point is not to advocate. The point is to position the instrument accurately enough that a serious allocator can decide whether it has a role in their portfolio.

The reference Digital Thorium parameters used throughout are the central case from the main report: launch price INR 20 per kWh, target real IRR 11.2 percent (14.5 percent nominal), modified duration approximately 12.6 years, capacity factor 82 percent steady state, 60-year asset life, AI demand correlation positive and high.

The Master Comparison Matrix

Before the pairwise deep-dives, here is the single-page view of every instrument across the dimensions that matter. The matrix is intentionally compact: read across the row to see what an instrument is, read down the column to see how instruments differ on one dimension.

Instrument	Type	Sovereign backed	Return (nominal)	AI corr.	Inflation linked	Min ticket (INR)
G-sec 10y	Debt	Yes	7.0%	Negative	Partial	10,000
Bank FD	Debt	<i>Partial</i>	7.0%	Neutral	No	1,000
Sovereign Gold Bond	Hybrid	Yes	2.5% + gold	Neutral	Yes	~5,500
Physical gold	Real asset	No	9.0% est.	Neutral	Yes	Open
Real estate	Real asset	No	5–9%	Neutral	Yes	25 lakh+
REIT	Real asset claim	No	6–7% yield +	Neutral	<i>Partial</i>	10,000+
NTPC equity	Equity	No	12% TSR	Negative	<i>Partial</i>	1 share
InvIT	Infra claim	No	9–11% yield	Neutral	<i>Partial</i>	10,000+
Green bond	Debt	<i>Partial</i>	7.5%	Neutral	No	10 lakh+
Nifty index fund	Equity basket	No	12% LR	Positive	<i>Partial</i>	500
Wheaton (streamer)	Royalty stream	No	8–12%	Neutral	Yes	1 share
Yellow Cake plc	Commodity SPV	No	Spot uranium	Neutral	Yes	1 share
Carbon credit	Permit	<i>Partial</i>	Variable	Neutral	<i>Partial</i>	Variable
Bitcoin	Crypto asset	No	Variable	<i>Partial</i>	<i>Partial</i>	Open
Digital Thorium	Sovereign	Yes	14.5%	Positive	Yes	500
	royalty		target	(high)	(real)	

The matrix highlights three structural observations. First, Digital Thorium is the only instrument in the matrix with sovereign backing, positive AI demand correlation, and a retail-accessible ticket. Second, the only instruments with comparable nominal return profiles (NTPC equity, Nifty, Wheaton) lack sovereign backing and have either neutral or negative AI demand correlation. Third, the only instruments with comparable sovereign backing (G-sec, SGB) have nominal returns less than half of what Digital Thorium targets.

This is not a coincidence and not a claim of dominance. It is a description of where the instrument sits in the asset taxonomy: in a corner that previously had no occupant.

Versus Government Debt

2.1 G-sec 10-year

The 10-year sovereign rupee bond is the risk-free anchor of the Indian portfolio. Every other instrument is priced relative to it. The comparison is therefore not about replacement; it is about what extra risk an allocator takes by stepping from G-sec to Digital Thorium and what extra return they expect for it.

Feature	G-sec 10y	Digital Thorium
Issuer	Government of India	NTFC (statutory corporation)
Sovereign backing	Direct	Statutory, not constitutional
Coupon	Fixed, paid semi-annually	Floating, paid quarterly
Principal return	At maturity, par	No formal maturity; secondary sale
Nominal return	$\approx 7\%$	$\approx 14.5\%$ target
Real return	$\approx 2-3\%$	$\approx 11.2\%$ target
Inflation hedge	Partial (nominal bond)	Strong (real-asset linked)
Credit risk	Zero	Low but non-zero
Liquidity	Deepest in India	Thin at launch, builds over 5 years
Modified duration	≈ 7	≈ 12.6
Tax	Interest at slab	Dual: settlement at slab, gains at 12.5%

Where each wins

G-sec wins on credit purity, liquidity, and the absence of any operational risk. The Government of India servicing its rupee debt is the cleanest contractual promise available in the country. There is no reactor that can fail, no capacity factor that can disappoint, no settlement formula that can be amended. The G-sec coupon arrives on the scheduled date for the entire history of the Republic. That is worth a real return of two to three percent to a serious balance sheet.

Digital Thorium wins on return, inflation linkage, and AI demand correlation. The pickup of approximately 750 basis points over the 10-year G-sec is the implied compensation for taking operational risk on a reactor cohort, political risk on a statutory rather than constitutional instrument, and liquidity risk in the early years of the asset class. An allocator who believes the operational and political risks are over-priced can pick up substantial spread; an allocator who does not should stay in G-sec.

Portfolio role

G-sec is the duration hedge and the safety anchor. Digital Thorium is the AI-correlated real asset. They are complements rather than substitutes. A balanced portfolio holds both: G-sec for predictable nominal cash flow and Digital Thorium for inflation-protected real cash flow with upside in the demand scenario.

Versus Retail Safe Assets

3.1 Bank Fixed Deposits

The bank FD is the dominant Indian retail savings vehicle, with approximately INR 160 lakh crore outstanding across the system. It is also the instrument Digital Thorium most directly competes with for retail mindshare.

Feature	Bank FD	Digital Thorium
Issuer	Scheduled commercial bank	NTFC
Deposit insurance	DICGC up to INR 5 lakh	Statutory guarantee fund
Tenor	7 days to 10 years	Perpetual / 60-year asset life
Nominal return	6.5–7.5%	14.5% target
Real return	≈1–2%	≈11.2% target
Liquidity	Premature withdrawal with penalty	Secondary market sale
Compounding	Quarterly typical	Quarterly cash distribution
TDS	10% above INR 40,000 interest	Proposed nil under INR 10,000
Inflation hedge	None	Strong

Where each wins

Bank FD wins on simplicity, brand familiarity, and the absence of any need to understand wholesale electricity markets, reactor capacity factors, or secondary trading. For a household whose entire investing life consists of choosing between competing FD rates at the same branch, the FD is the dominant choice on cognitive load alone. The trade-off is that the FD is a structural wealth-destroyer in real terms: a one to two percent real return compounds to almost nothing over a working life.

Digital Thorium wins on real return, inflation linkage, and durability. An INR 10,000 ticket compounding at 14.5 percent nominal for twenty years becomes approximately INR 1.49 lakh. The same ticket in a 7 percent FD becomes INR 38,700. The instrument that wins the next two decades of Indian retail savings is not the one that pays one percent more on FD rates; it is the one that delivers double-digit real returns on a sovereign-adjacent claim.

Portfolio role

The FD is short-tenor liquidity. Digital Thorium is long-tenor wealth creation. A household should hold an emergency buffer in FDs because the secondary market for Digital Thorium may not always be deep enough for unplanned exits. Beyond the buffer, every additional rupee in FDs is a slow erosion of purchasing power. The retail proposition for Digital Thorium is to absorb the lakhs of crores currently parked beyond the emergency buffer in bank deposits.

3.2 Sovereign Gold Bonds

The Sovereign Gold Bond is the closest existing analog to Digital Thorium in structure: a sovereign-issued, retail-accessible, exchange-listed instrument that combines a fixed coupon with exposure to an underlying real asset. The SGB pays 2.5 percent annual interest on the issue price plus the gold price appreciation at redemption. It is the right reference point.

Feature	Sovereign Gold Bond	Digital Thorium
Issuer	RBI on behalf of GoI	NTFC
Underlying	Gold (physical)	Thorium-derived electricity
Fixed coupon	2.5% on issue price	None (full float)
Variable component	Gold price appreciation	Wholesale power price
Tenor	8 years, exit allowed from year 5	Perpetual / 60-year
Total return realised	≈11–13% historical	≈14.5% target
Capital gains on redemption	Exempt for individuals	12.5% long-term
Inflation hedge	Strong (gold)	Strong (real-asset linked)
AI demand correlation	Neutral	Positive (high)
Productive asset	No, gold is sterile	Yes, produces electricity

Where each wins

Sovereign Gold Bonds win on tax efficiency, cultural familiarity, and the fact that the gold underlying is universally legible to Indian retail savers. The capital gains exemption at maturity is a meaningful structural advantage that Digital Thorium cannot match. SGBs also benefit from gold's status as the cultural default store of value, which lowers the marketing cost of distribution to zero. The SGB scheme is the proof that retail-accessible sovereign hybrid instruments work in India.

Digital Thorium wins on productive asset character and demand correlation. Gold sits in a vault and pays nothing while it appreciates from speculative demand. Thorium powers data centres, factories, and households while it appreciates from real economic demand. The difference matters in two ways: thorium has a structural reason to appreciate (rising AI compute load) that gold does not, and thorium generates cash flow during the holding period that gold does not. The 2.5 percent SGB coupon is paid out of nothing; the Digital Thorium quarterly distribution is paid out of the wholesale price of electricity actually sold.

Portfolio role

The SGB is the right inflation hedge for a household that wants a passive store of value. Digital Thorium is the right inflation hedge for a household that wants an active, productive store of value. SGBs are unlikely to deliver fifteen percent nominal because gold does not have a structural demand tailwind of that scale. Digital Thorium can deliver it precisely because AI demand for clean baseload electricity is a structural tailwind no other asset has access to.

Versus Real-Asset Claims

4.1 Physical Real Estate

For most Indian middle-class households, the default capital allocation in the working years is the family home or an investment property. This is the largest single competitor for Digital Thorium's target capital pool: not bonds, not equity, but the next plot of land or apartment.

Feature	Physical real estate	Digital Thorium
Minimum ticket	INR 25 lakh+	INR 500
Liquidity	Months to years	Secondary market
Income yield	2–3% rental	≈5% quarterly distribution
Capital appreciation	3–6% nominal LR	Real-asset linked
Transaction costs	Stamp duty + agent (8–10%)	<1%
Maintenance	Ongoing	None
Legal complexity	Title, tenancy, registration	Statutory clarity
Inflation hedge	Strong	Strong
Productive asset	Partial (rental)	Yes (electrons)
Geographical fixity	Yes (single plot)	No (claim on grid)

Where each wins

Real estate wins on legibility and the cultural-emotional bind. Indian households understand owning a flat the way they understand owning a saree: it is a possession, not a financial instrument. The deed is in the locker, the address is on the documents, the children inherit the same square footage. That clarity is worth a real return haircut of three to four percent versus financial alternatives. Real estate also has the genuine advantage of being usable: a home is a place to live, which a token is not.

Digital Thorium wins on liquidity, transaction cost, fractionalisation, and yield. The transaction cost stack on a residential property purchase in Mumbai or Bengaluru is approximately ten percent of the ticket; the equivalent for Digital Thorium is under one percent. The minimum ticket is fifty thousand times smaller. The rental yield on residential real estate in Indian metros has compressed to two to three percent; the projected distribution yield on Digital Thorium is approximately five percent at launch. The capital appreciation on real estate depends on a single local market; Digital Thorium appreciates with national power demand.

Portfolio role

The household home is a consumption decision masquerading as an investment decision. Digital Thorium is the right substitute for the third or fourth property that a saving family accumulates as a pure investment. A family that owns one or two properties for use and rotation should consider

Digital Thorium for the marginal investment rupee they would otherwise put into a third property.

4.2 REITs (Real Estate Investment Trusts)

REITs are the structural cousin of Digital Thorium: exchange-listed, retail-accessible, fractional claims on a portfolio of real assets with regular distributions. Embassy Office Parks, Mindspace, Brookfield India, and Nexus Select are the listed Indian REITs and they raised approximately INR 50,000 crore between 2019 and 2025.

Feature	Indian REIT	Digital Thorium
Underlying	Commercial real estate	Thorium electricity
Structure	Trust under SEBI REIT regs	Statutory claim under NTFC Act
Sovereign backing	None	Yes, statutory
Distribution yield	6–7%	≈5% (at launch)
Capital appreciation	2–4% historical	6–8% target
Total return	9–11%	≈14.5% target
Tax on distribution	Pass-through, mixed treatment	Slab-rate income
Liquidity	Moderate (listed)	Building (year 1–5)
Geographic concentration	Major Indian metros	National grid
Demand driver	Office and retail occupancy	AI compute and industrial baseload

Where each wins

REITs win on liquidity at launch (Indian REITs are now five years into their lifecycle and have built genuine secondary depth), on familiarity (most allocators understand commercial real estate intuitively), and on tax-advantaged distribution structures inherited from the SEBI regulatory framework. The distribution yield of six to seven percent is real and bankable.

Digital Thorium wins on total return ceiling, sovereign backing, and demand correlation. The structural ceiling on Indian commercial real estate returns is set by office and retail occupancy, which grows roughly with GDP at three to four percent real. The structural ceiling on Digital Thorium is set by AI compute demand, which IEA projects to grow at multiples of GDP through 2035. Same wrapper architecture, fundamentally different demand engine.

Portfolio role

REITs are commercial real estate exposure with retail packaging. Digital Thorium is energy exposure with the same retail packaging architecture. An allocator who likes the REIT structure should consider Digital Thorium as the energy-class equivalent, not as a substitute. Holding both gives diversified exposure to two structurally different demand engines within the same fractional, listed, retail-accessible wrapper.

Versus Equity-Like Instruments

5.1 Power Utility Equity (NTPC, Power Grid, NHPC)

The closest listed Indian comparable to a Digital Thorium portfolio allocation is a basket of power utility equities. NTPC has a market capitalisation of approximately INR 3.5 lakh crore and produces roughly 23 percent of India's electricity. It is the obvious incumbent.

Feature	NTPC equity	Digital Thorium
Underlying	Coal-heavy generation fleet	Thorium reactor cohorts
Fuel mix	75% coal, 25% gas/renewable	100% thorium
Total return 5y avg	≈12%	≈14.5% target
Dividend yield	≈3.5%	≈5% distribution
Carbon intensity	High	Near-zero
Demand transmission	Slow (regulated tariff)	Fast (wholesale exchange)
Operational risk	Diversified across 70+ plants	Cohort-specific
AI demand correlation	Partial, dampened by tariff regulation	Direct, real-time
Fuel import exposure	High (coal logistics, gas)	None
Stranded asset risk	Significant (carbon transition)	Low

Where each wins

NTPC wins on diversification, scale, operational track record, and the fact that it already exists with a thirty-year history of cash distributions. An allocator buying NTPC is buying a known operating company with disclosed quarterly earnings, a tested management team, and dividend payouts that have never failed. NTPC also wins on present-day liquidity by approximately two orders of magnitude.

Digital Thorium wins on the demand thesis the allocator is actually trying to express. If the bet is "Indian electricity demand will rise sharply because of AI," NTPC is a contaminated way to express it because three quarters of NTPC's earnings come from coal, which is structurally short the energy transition. Buying NTPC for AI demand exposure is buying a fuel mix exposure you actively want to avoid. Digital Thorium is the clean expression of the same thesis. The thirty-year cash flow comes through, but from a fuel cycle that benefits from the same trends that hurt NTPC.

Portfolio role

NTPC is a play on Indian power demand filtered through the regulated tariff system. Digital Thorium is a play on Indian clean baseload demand transmitted directly through wholesale prices. An allocator with conviction on the AI compute thesis should overweight Digital Thorium and underweight or

short coal-heavy utility equity. An allocator without that conviction should stick with NTPC.

5.2 InvITs (Infrastructure Investment Trusts)

InvITs are the structural twin of Digital Thorium for transmission, road, and pipeline assets. PowerGrid InvIT, IRB InvIT, India Grid Trust, and IndInfravit have raised approximately INR 60,000 crore between them. They are the existing template for tokenised infrastructure cash flows in India.

Feature	InvIT	Digital Thorium
Underlying	Operating infra (lines, roads, pipes)	Operating reactor cohorts
Cash flow source	Long-term contracted tariffs	Wholesale electricity sales
Distribution yield	9–11%	≈5% at launch
Capital appreciation	Low (yield-focused)	6–8% target
Total return	9–11%	≈14.5% target
Tax pass-through	Yes, partial	Limited (proposed)
Inflation linkage	Partial (escalation clauses)	Direct (wholesale price)
Demand sensitivity	Low (contracted)	High (market priced)

Where each wins

InvITs win on present yield and predictability. The 9 to 11 percent distribution is contractually anchored to long-dated tariff arrangements, so quarterly cash flow is highly visible and rarely surprises. For an allocator who wants infrastructure exposure as a bond substitute with a kicker, the InvIT is the dominant structure today.

Digital Thorium wins on upside and inflation transmission. The InvIT design caps upside by design: the tariff is contracted, the assets are mature, the cash flow does not respond to demand spikes. Digital Thorium does the opposite: the wholesale price feeds straight through, so demand spikes show up in holder cash flow within a quarter. An allocator who wants infrastructure exposure with an AI demand kicker has no good option among InvITs.

Portfolio role

InvITs and Digital Thorium are different points on the risk-return curve within the same broad family of infrastructure cash flow claims. InvITs are the lower-risk, lower-upside, yield-focused option. Digital Thorium is the higher-risk, higher-upside, total-return-focused option. A balanced infrastructure sleeve in a portfolio could hold both.

5.3 Listed Equity Index Funds (Nifty 50)

The broad market index is the default allocation for most modern retail savers entering the market via SIPs. Approximately INR 25 lakh crore sits in Indian mutual fund equity schemes, much of it tracking or benchmarked against the Nifty.

Feature	Nifty index fund	Digital Thorium
Underlying	50 large-cap Indian companies	Reactor cohorts
Sector mix	Diversified across economy	Single asset class
Long-run nominal return	≈12%	≈14.5% target
Volatility (annualised)	18–20%	10–15% expected
AI demand correlation	Positive but diluted	Positive and direct
Liquidity	Deep	Building
Cash flow during hold	≈1% dividend yield	≈5% distribution

Where each wins

The Nifty wins on diversification, liquidity, and depth of operating history. Buying the Indian economy through fifty large companies is a more robust bet than buying a single asset class. The Nifty also wins on the fact that AI demand benefits multiple sectors (banking, IT services, capital goods, consumer) that show up in the index, so a passive Nifty allocation captures part of the same thesis through different channels.

Digital Thorium wins on the directness of the AI demand bet and on cash flow timing. A Nifty holder gets one percent dividend yield and the rest of the return on selling. A Digital Thorium holder gets five percent distribution yield and waits for terminal appreciation. For an allocator who wants current income from the AI demand thesis rather than future capital gains, Digital Thorium is the better expression.

Portfolio role

The Nifty is the broad economic bet. Digital Thorium is the energy-specific bet within the broader AI thesis. Most portfolios should hold the Nifty as core and Digital Thorium as satellite. The satellite allocation should be sized to the conviction level on the specific compute-electron thesis: 5 percent for hedged exposure, 10 percent for full conviction.

Versus Structured Commodity Claims

6.1 Wheaton Precious Metals and Streaming Companies

Wheaton Precious Metals has a market capitalisation of approximately USD 30 billion built entirely on streaming agreements: contracts that pay producers upfront for the right to buy a fraction of future precious-metal output at a deep discount. Digital Thorium is structurally a sovereign-issued, retail-accessible streaming agreement on thorium electrons.

Feature	Wheaton Precious Metals	Digital Thorium
Underlying	Silver, gold, palladium, cobalt	Thorium-derived electricity
Wrapper	Listed Canadian corporation	Statutory Indian claim
Distribution	1–2% dividend yield	≈5% quarterly
Capital appreciation	Tracks commodity prices	Tracks wholesale power
Total return long-run	8–12% USD	≈14.5% INR
Operating risk	Distributed across portfolio	Per-cohort exposure
Geographic exposure	Global mining jurisdictions	India only
Sovereign backing	None	Yes
Retail accessibility	Yes (listed)	Yes (token)

Where each wins

Wheaton wins on geographic diversification across multiple mining jurisdictions, on the maturity of the streaming model (in use since 2004 with public market validation), and on the established analyst coverage that lets institutional capital underwrite the position confidently. Wheaton also wins on the fact that precious metals do not require regulatory approval to extract, which streamlines the underlying production economics.

Digital Thorium wins on the demand profile of the underlying commodity. Silver and gold demand grows at GDP-like rates. Electricity demand for AI compute is projected to grow at multiples of GDP through 2035. The streaming wrapper is the same; the demand thesis is fundamentally stronger. Digital Thorium also wins on retail accessibility at the INR 500 ticket level, which no streaming company offers.

Portfolio role

Streaming companies are the right exposure for an allocator who wants commodity beta without operating risk. Digital Thorium is the same thing for a specific commodity (clean baseload electricity) in a specific jurisdiction (India) with sovereign backing. An allocator running a streaming sleeve in a global portfolio should consider Digital Thorium as the India-thorium-electricity addition.

6.2 Yellow Cake plc

Yellow Cake is a London-listed company whose sole purpose is to hold physical uranium and provide investors with direct spot uranium exposure. Market capitalisation approximately USD 1.5 billion. It is the cleanest existing analog to a single-commodity sovereign claim.

Feature	Yellow Cake plc	Digital Thorium
Underlying	Physical uranium stockpile	Thorium-cycle electricity
Cash flow	None (storage cost)	Quarterly distribution
Return source	Uranium spot price only	Electricity price + capacity factor
Total return character	Pure commodity beta	Hybrid yield + appreciation
Sovereign backing	None	Yes
Tax efficiency	Capital gains on sale only	Mixed: income + capital gains

Where each wins

Yellow Cake wins on simplicity. The vehicle holds uranium drums in a warehouse. NAV is the count of drums times spot uranium price. There is nothing else to model. For a pure commodity-beta play, that simplicity is genuinely valuable.

Digital Thorium wins on cash flow. Yellow Cake pays nothing while holders wait for spot uranium to appreciate. Digital Thorium pays quarterly distributions while holders also benefit from underlying appreciation. For an allocator who needs current income, only one of these instruments offers it.

Portfolio role

Yellow Cake is a directional bet on uranium spot prices. Digital Thorium is a productive holding in a fuel cycle that includes physical conversion to a salable end product. They are different instruments serving different portfolio roles.

6.3 Carbon Credits

Carbon credits trade in voluntary and compliance markets globally, with a combined market size of approximately USD 100 billion. The European Union ETS is the largest single venue. India's Carbon Credit Trading Scheme launched in 2026 is the relevant domestic comparable.

Feature	Carbon credit	Digital Thorium
Underlying	Avoided or removed emission	Clean electrons generated
Issuer	Project developer or government	NTFC
Demand driver	Compliance mandates	Real economic demand
Political durability	Variable (Trump, EU reform)	Statutory, retail-anchored
Productive function	None (pure permit)	Generates electricity
Long-run price	Highly uncertain	Wholesale-price linked
Liquidity	Mature in EU, thin in India	Building

Where each wins

Carbon credits win on existing institutional adoption and on direct linkage to climate policy enforcement. For an allocator wanting policy-driven exposure, carbon credits are the established instrument.

Digital Thorium wins on every other dimension. Carbon credits are political constructs whose price depends entirely on the continued willingness of states to enforce emission caps. The Trump administration's withdrawal from EU-style compliance, the periodic European reform debates, and the absence of a global carbon price all mean the asset class is structurally exposed to policy reversal.

Digital Thorium has political risk but it is anchored to a productive asset that produces value regardless of climate policy. A thorium reactor generates electricity whether or not carbon is priced.

Portfolio role

Carbon credits are climate-policy beta. Digital Thorium is clean-energy production beta. The two are correlated but distinct, and Digital Thorium has the structural advantage of being a real asset rather than a permit.

6.4 Bitcoin and Crypto

The crypto-asset class is occasionally positioned as a digital store of value comparable to Digital Thorium. The comparison is structurally weak but worth addressing because the surface label sounds similar.

Feature	Bitcoin	Digital Thorium
Underlying	Cryptographic protocol	Physical electricity claim
Issuer	Decentralised protocol	Indian statutory corporation
Backing	Belief, energy expenditure	Real asset, sovereign
Cash flow	None	Quarterly distribution
Regulatory clarity	Uncertain in India	Statutory framework
Volatility (annualised)	60–80%	10–15% expected
Productive function	None	Powers data centres
Use of energy	Consumes electricity	Produces electricity

Where each wins

Bitcoin wins on censorship resistance, on independence from any state, and on the network effect of being the longest-running and most-recognised crypto asset. For an allocator who wants permissionless, stateless exposure, no statutory instrument can match it.

Digital Thorium wins on every traditional finance criterion: cash flow, real asset backing, sovereign clarity, regulatory framework, volatility profile. The two instruments occupy different parts of the portfolio risk spectrum and address fundamentally different concerns. Notably, Bitcoin consumes electricity while Digital Thorium produces it; in the AI demand scenario, Digital Thorium benefits from the same electron scarcity that hurts Bitcoin mining margins.

Portfolio role

Bitcoin is a hedge against sovereign and monetary failure. Digital Thorium is a productive claim on sovereign infrastructure. They are not substitutes. An allocator who holds both is hedging in different directions.

Portfolio Construction

7.1 Where Digital Thorium Fits

After fourteen comparisons, the portfolio role of Digital Thorium clarifies. It is not a replacement for any single existing instrument. It is a new column in the matrix that performs functions no existing instrument performs:

1. The only retail-accessible instrument with positive AI demand correlation transmitted in real time
2. The only sovereign-backed long-duration real asset with a floating cash flow rather than a fixed coupon
3. The only fractional, listed, retail-accessible claim on the clean baseload generation fleet
4. The only Indian asset whose holder return aligns with the country's compute sovereignty

7.2 Suggested Allocation Frameworks

For three reference portfolio archetypes, here is how Digital Thorium fits alongside the alternatives discussed above.

Conservative retail saver (Indian household, ages 35–55)

Asset class	Current default	Proposed
Bank FD / liquid funds	50%	25%
Real estate (primary residence)	30%	30%
Gold / SGB	10%	15%
Equity (Nifty index)	5%	15%
Digital Thorium	0%	10%
Other	5%	5%

The reallocation shifts 25 percent of household balance sheet from purchasing-power-eroding FDs toward productive instruments. Digital Thorium absorbs 10 percent of that, alongside a doubled equity allocation. The household keeps its house, keeps its gold buffer, and retains an emergency FD layer.

Affluent professional (HNI, ages 40–60, INR 5 crore+ portfolio)

Asset class	Typical default	Proposed
Indian equity	35%	25%
Global equity	10%	10%
Indian debt + InvIT	25%	20%
Real estate (investment)	20%	15%
Gold / SGB	5%	5%
Digital Thorium	0%	15%
Alternatives (PE, hedge)	5%	10%

The reallocation reduces investment property and concentrates Indian equity, freeing 15 percent for a substantial Digital Thorium position. The instrument's combination of yield (better than equity dividends) and AI-correlated appreciation (similar to selected equity sectors) makes it a more efficient single instrument than the trade-offs it replaces.

Institutional pension fund (Indian)

Asset class	Current allocation	Proposed
G-sec	50%	40%
Corporate bonds	25%	25%
Indian equity	15%	15%
InvIT / REIT	5%	10%
Digital Thorium	0%	8%
Other	5%	2%

The pension allocation is the most conservative because of liability-matching constraints. Digital Thorium fits as a long-duration real-asset complement to G-sec, using the floored variant described in the diligence memo to provide CPI-linkage matching the inflation component of pension liabilities. The 8 percent allocation is sized to maximum prudential limits.

The One-Page Summary

If a portfolio allocator reads only one page of this document, this is it.

Where Digital Thorium dominates

Digital Thorium is the best available instrument when the allocator wants any combination of: positive AI demand correlation, sovereign backing, retail accessibility, real-asset linkage, long duration, and quarterly cash distributions. No other single instrument combines more than three of these. Digital Thorium combines all six.

Where Digital Thorium loses

- Against G-sec on credit purity and liquidity
- Against Bank FD on simplicity and short-tenor liquidity
- Against Sovereign Gold Bonds on capital gains tax efficiency
- Against physical real estate on usability and inheritance simplicity
- Against REITs and InvITs on present-day liquidity and operating history
- Against NTPC on diversification and operating track record
- Against Nifty on diversification and depth of trading history
- Against Wheaton on geographic diversification and analyst coverage
- Against Yellow Cake on simplicity of NAV calculation
- Against Bitcoin on stateless, permissionless exposure

The right framing

Digital Thorium is not a dominant instrument across every dimension. It is a uniquely positioned instrument in the corner of the asset taxonomy that combines sovereign backing, AI demand correlation, real-asset linkage, and retail accessibility. That corner was previously empty. Filling it is the strategic value of the instrument, not displacing any existing one.

A serious allocator should hold Digital Thorium not because it is better than everything else, but because nothing else does what it does. The right portfolio question is not "should I move money from gold to Digital Thorium" but "what gap in my exposure am I filling with this position." If the gap is real, the allocation is justified. If it is not, stay with what works.

Status of this document. All return figures are indicative and based on the central case in the main report and standard market references for comparator instruments. Historical return figures for traditional instruments reflect five-year averages where available. Tax treatments are described as current under Indian law as of 2026 and the proposed Finance Act 2027 treatment for Digital Thorium. Allocation frameworks are illustrative and not investment advice. The point of the comparison is positioning, not endorsement of any specific allocation.